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Capacity, Capability, Opportunity

A Macro View to Identify Legitimate Constraints

Framework Overview

The essence of this framework is to identify the legitimate constraints that restrict the business owner's ability to grow or improve. This is essential for you as an advisor so that you can avoid picking up all the 'problem child' clients and as a result, suffer fee creep.

It's also critical from the client's point of view as it may be that the constraints are temporary and may be better dealt with at a later date. (Timing is critical; this can be described as the 'Goldilocks conditions' – Not too Hot, Not too Cold – meaning, there needs to be enough Discomfort that the client is motivated to strive for something better but no so much that they become paralysed by the events and are unable to act on your recommendations)

Talking about 'Legitimate Constraints' is designed to not only identify the issues, but to provide a sense of validity to these issues and remove the guilt or negative emotional associated. This is important and enables your client to 'Let Go' of limiting beliefs or habits so they can embrace newer, more beneficial ones for their business.

You can use the framework internally as your own 'mental checklist' if you feel that a structured review would be perceived as inappropriate in the client meeting or, make it visible (verbally anchoring the principle points) or write them on an agenda.

The easiest way to recall the framework when working with a business model which is confusing, is to 'bring it back' to your own world / business model and look for similarities. From there (together with client input) you can work out the key business variables that you need to explore with your client.

Capacity

Transactional Volume – How many widgets/ Jobs can your client's business model cope with?

Once you've identified the 'Probable – Perfect World' output levels you can then compare with the 'Current World' performance.

You may explore this as a 'higher level' concept and simply discuss the basics or you may choose to use a Capacity Model and work through the variables in greater detail with your client.

Remember – one of the keys to facilitation is the 'REVEAL' – this is how your client reaches their own 'a-ha' moment. The digital capacity models make this much easier as it encourages multiple 'What-If' scenario discussions; all of which encourage understanding and positive suggestion.

The other critical point of exploring your client's business capacity model is that is helps to build BELIEF; this is a vital step for anyone to change any habit of any significance. (It also contributes greatly to their decision to fully commit to your service offer)

{You may find the following statement helpful – "I'm not saying it will be easy to grow your business profits by the figures shown in the model – I'm just saying that the figures say it's possible. It's up to us to develop new ideas, test and measure the outcomes and make change where necessary to make the profit a REALITY."}

Capability

Skill Sets & Resource – Can your client deliver 'Premium' or 'Volume' services or products to their marketplace? Are they ABLE to deal with the larger or more technical jobs? Do they have enough vital tools and equipment (including financial resource) to 'Play with the Big Boys'?

It's easy for your client to get overly optimistic and decide to risk everything to 'shoot for the stars and live with passion' but this is where you have to 'talk them down' a little bit.

It's not an admission that they will never be competitive or able to scale up to larger sectors; it just means "not yet."

"NOT YET" is a powerful phrase to use in this section as again, it inspires future direction; encourages the mind to search for 'EVIDENCE' or 'REASONS' why they're not ready just now but at the same time – stimulates ideas on what they can change in future or to identify the timing that's more conducive to success.

Capability is also where you explore your client's thoughts regarding the future of their industry / impact of technology or shift in consumer trends; all from the perspective of "are you ready to face the new challenges?"

Opportunity

Proof of Market Demand – What evidence of consumer response does your client have to support their goals and ambitions for growth?

Does your client believe that growth will come from new products or services? If so, what has been the response of their existing customers? (What kind of QUALITATIVE data/feedback have they collected?)

To put things in context… If you as an advisor, intend to take more advanced strategic services to your existing client base then you need proof that they want the service in the first place. If most of your clients are retired pensioners then there won't be a lot of demand (by them) for strategic planning and governance training – no matter how enthusiastic you are!

It's the same for your clients; they need to identify the 'event triggers' / 'economy stimulus' / 'fashion driver' / 'technology wave' or 'environmental impact' that supports their belief that consumers will love their product or service as much as they do.

A good saying to use at this stage is… "Fall in love with your customers; not your product or service."

Framework Summary

This framework is a macro-level tool used by business advisors to identify the "legitimate constraints" that are restricting a client from growing or improving their business.

By structuring conversations around these three pillars, advisors can help clients reach the "Goldilocks conditions"—a state where the client feels enough discomfort to strive for improvement, but is not so overwhelmed that they are paralyzed from acting on recommendations.

Common Q&A

Here's how to apply this framework in a step-by-step, educational format.

Step 1: Set the Stage and Validate Constraints

How-to: Before diving into the numbers, use the framework to structure your review. You can use it internally as a mental checklist, verbally anchor the points, or explicitly write them on your meeting agenda. If the client's business model is confusing, simplify it by comparing it to your own business model to find similarities and identify the key variables to explore.

- Q: Why is it crucial to frame the client's problems as "legitimate constraints"?

  A: Discussing issues as "legitimate constraints" provides validity to the client's struggles. It removes the guilt and negative emotions associated with their roadblocks, which allows the client to "let go" of limiting beliefs and embrace newer, healthier habits for their business.

Step 2: Assess Business Capacity

How-to: Focus on the business's Transactional Volume—literally, how many jobs or widgets the current model can cope with. Compare the client's "Current World" performance to their "Probable - Perfect World" potential. Use digital capacity models to run multiple "What-If" scenarios together.

- Q: What is the main goal of running these "What-If" scenarios with the client?

  A: The goal is the "REVEAL"—facilitating the conversation so the client reaches their own "a-ha" moment. Seeing the data builds vital BELIEF that higher profits are possible. As an advisor, you can frame this by saying, "I'm not saying it will be easy... I'm just saying that the figures say it's possible. It's up to us to develop new ideas, test and measure the outcomes and make change where necessary to make the profit a REALITY".

Common Q&A

Step 3: Evaluate Current Capability

How-to: Look closely at the client's Skill Sets and Resources. Evaluate if they have the tools, equipment, and financial resources required to deliver "Premium" or "Volume" services, or if they are truly equipped to "Play with the Big Boys". Additionally, use this step to discuss future readiness regarding industry changes, technology impacts, or consumer trends.

- Q: How do you handle a client who is overly optimistic and wants to risk everything to scale immediately?

  A: You must "talk them down" using the concept of "NOT YET". Telling a client "not yet" is not an admission of failure; rather, it forces them to look for evidence as to why they aren't ready right now. It stimulates healthy brainstorming about what specific changes need to happen before they can safely scale.

Step 4: Verify the Opportunity (Market Demand)

How-to: Demand Proof of Market Demand to support the client's growth ambitions. Ask what qualitative data or feedback they have collected from their existing customers. Identify specific external factors that prove consumers will love the product, such as "event triggers," "economy stimulus," "technology waves," or an "environmental impact".

- Q: What is the most important mindset for a client to adopt when looking at market opportunity?

  A: They need to adopt the mantra: "Fall in love with your customers; not your product or service". They must have concrete proof that the market actually wants what they are selling. For example, if an advisor tries to sell advanced strategic planning to a client base of retired pensioners, there will be no demand regardless of how enthusiastic the advisor is.